

Technical Interviews

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Technical interviews evaluate a candidate's expertise, logical problem-solving, and ability to articulate structured responses to finance-related questions.

Strategy and Practice Techniques

Thought Process

Break down problems step by step and explain your reasoning clearly, even if you're uncertain about the final answer.

Practice Questions

Solve case studies, technical questions, and brainteasers regularly to strengthen your problem-solving skills and build confidence.

Question Types

Basic Finance

- Time Value of Money
- Discounting Cash Flows (*DCF*)
- Capital Budgeting
- Balance Sheet, Income Statement, and Cashflow Statement

Private Equity

- Investment Opportunities (*Market Size, Growth Potential, and Due Diligence*)
- Portfolio Performance (*IRR, MOIC, EBITDA, Multiple, and Exit Strategies*)

Hedge Funds

- Strategies (*Long/Short Equity, Global Macro, Event-Driven*)
- Risk Management (*Diversification, Hedging Techniques*)

Accounting

- Accounting Treatment (*EBITDA, Depreciation, Amortization, and Cash Flow Effects*)
- Financial Statement Analysis, and Accounting Adjustments Analysis.

Advanced Finance

- Comparable Company Analysis
- Precedent Transactions
- Intrinsic Value Calculations
- DCF Modeling
- Leveraged Buyouts (*LBOs*)

Investment Banking

- Mergers & Acquisitions (*M&A*)
- Initial Public Offering (*IPO*)
- Debt/Equity Financing
- Buy-Side vs. Sell-Side Advisory

Equity Research

- Equity Research Financials
- Perform Ratio Analysis (*Profitability, Liquidity*)
- Make Buy/Sell Recommendations

Logical Puzzles

- Critical Thinking
- Problem Solving
- Brainteasers
- Quick Mathematical Skills
- Logic Testing

Common Finance Interview Q&As

Question (ACCOUNTING): “Walk me through the 3 main financial statements?”

Theoretical Explanation

The three main financial statements are *Income Statement (IS)*, *Balance Sheet (BS)*, and *Cash Flow Statement (CFS)*.

- **IS:** Shows profitability over a period:
 $Net\ Income = Revenue - Operating\ Expenses$
- **BS:** A snapshot of a company's financial position at a specific point in time:
 $Assets = Liabilities + Equity$
- **CFS:** Shows cash movement over a period:
 $Net\ Income \pm Non-Cash\ Adjustments\ (Depreciation,\ etc.) \pm Cash\ Flows\ (Operating,\ Investing,\ Financing) = Net\ Change\ in\ Cash$

Key Financial
Statements

Explain the flow of
transactions

Example:

A company *sells equipment for \$15,000 in December*, but *payment is received in January*. Here's how it appears on the financial statements:

- **IS:** The *\$15,000 is recorded as revenue in December, increasing net income*.
- **BS:** *Accounts receivable increases by \$15,000 in December. In January, accounts receivable decreases, and cash increases by the same amount.*
- **CFS:** *No cash inflow in December. In January, the \$15,000 appears as cash flow from operations.*

Be upfront &
State concisely

Detail-oriented

Question (FINANCE): “What are the 4 main ways to value a company?”

Theoretical Explanation:

DCF Analysis: Projects *future cash flows and discounts* to present value *using WACC*; ideal for companies with stable cash flows.

Comparable Company Analysis: Relies on *valuation multiples (e.g., P/E, EV/EBITDA) of similar companies* for relative valuation.

Precedent Transactions: Uses *valuation multiples from recent acquisitions* of comparable companies.

LBO Model: Measure *implied returns on an LBO*, an acquisition where a substantial percentage of the purchase price is funded using debt.

Key Valuation
Methods

Concise
Explanation

Getting prepared
through research
and practice

Example:

Valuing a technology company like Apple by forecasting future revenue from product sales and discounting these cash flows to today's value.

Follow-Up Questions:

How do you determine the **appropriate discount rate**?

How do you adjust the **DCF model** for companies with **volatile cash flows**?

Common Finance Interview Q&As

Brainteaser questions in finance interviews assess analytical thinking, creativity, and the ability to apply logic under pressure. Regular practice—alone or with friends—helps build confidence and adaptability to tackle any problem.

Question (BRAINTEASER): “How many mattresses are sold annually in the US?”

Assumptions/Hypothesis:

I assume that the **US population** is approximately **330 million people**, with around **120 million households**. Each household **replaces a mattress every 10 years** on average.

Making numerical assumptions & asking interviewer if you're unsure

Make Proper Calculations:

Household Sales:

With 120 million households and a 10-year replacement cycle, each year 10% of households buy a new mattress.

$$120 \text{ million} * 10\% = 12 \text{ million mattresses}$$

→ **12 million mattresses sold to households annually.**

Work out calculations on paper

Institutional Sales:

- Hotels: **50,000 hotels** with **100 rooms** each, replacing mattresses every 6 years.

$$50,000 * 100 / 6 = \sim 833,000 \text{ mattresses/year.}$$

- Hospitals: **6,000 hospitals** with **300 beds** each, replacing every 4 years.

$$6,000 * 300 / 4 = \sim 450,000 \text{ mattresses/year.}$$

- Universities: **4,000 universities** with **5,000 dorm beds**, replacing every 10 years.

$$4,000 * 5,000 / 10 = \sim 2 \text{ million mattresses/year.}$$

→ **3.3 million mattresses sold to institutional sales annually.**

Talk through your reasoning
“I’ll think out loud so you can follow my reasoning.”

Total Sales: ~15.3 million mattresses sold annually in the US.

Evaluate Risks and Typical Exceptions:

This estimate assumes a 10-year replacement cycle and steady institutional purchases. However, **consumer behavior**, **economic shifts**, or **online sales trends** could affect these numbers. **Seasonal promotions** and **new housing developments** may temporarily boost sales. Adjusting for fluctuations, a realistic estimate reduces household sales by 10-15%, totaling 13-17 million mattresses annually.

Identify and assess potential risks and exceptions

→ **Around 13-17 million mattresses are sold each year in the US.**

Short and Concise Conclusion

Professional Development Team Members



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